

Battle of Forms

Whose standard terms become part of the contract?

Businesses often agree on a product and its price while exchanging documents that contain different standard terms. The **battle of forms** concerns which of those terms, if any, become part of their contract. The answer depends on agreement, not simply on who sent the most recent document.

1 Why the problem arises

A seller may use a quotation with its own conditions of sale. A buyer may reply with a purchase order containing its conditions of purchase. Both want to use familiar terms, but the documents may disagree about payment, liability, price changes or the court that will hear a dispute.

A **standard form** is a reusable document or set of standard terms. It saves time, but sending it does not automatically make every clause binding on the other party.

2 Offer, counter-offer and acceptance

Under the traditional English approach, a reply that materially changes an offer is usually a **counter-offer**, rather than acceptance. The court follows the exchanges to identify the offer that was actually accepted, including acceptance shown by conduct.

ILLUSTRATIVE EXCHANGE	POSSIBLE LEGAL EFFECT
Seller quotes £1,000 and requires payment within 14 days.	An offer on the seller's terms.
Buyer orders the goods but requires payment within 60 days.	A counter-offer on different terms.
Seller expressly accepts the buyer's order and its terms.	Agreement on the buyer's terms, including 60-day payment.

3 What the last shot means

The **last shot** describes the final set of proposed terms accepted by the other party before the contract is formed. Acceptance may be express or inferred from conduct, such as delivery, depending on the circumstances. It is not an automatic rule that the last email, invoice or form always wins.

This guide explains English contract law for readers without prior legal training. The two cases illustrate different ways of identifying the terms agreed.

Butler Machine Tool v Ex-Cell-O

[1979] 1 WLR 401 · Court of Appeal

4 A dispute about the price

The seller, Butler, offered machinery on terms allowing the price to rise if costs increased. The buyer, Ex-Cell-O, ordered on its own terms, without that **price variation clause**. The buyer's order included an acknowledgement slip for the seller to sign.

DOCUMENT	SIGNIFICANCE
Seller's quotation	Included the seller's price variation clause.
Buyer's purchase order	A counter-offer without that clause.
Seller's signed acknowledgement	Accepted the buyer's order on its stated terms.
Seller's covering letter	Referred to its quotation, but did not restore its standard conditions.

5 The decision and outcome

The Court of Appeal held that the contract was on the buyer's terms. The covering letter's reference to the quotation concerned the machinery and quoted price; it did not override the clear signed acceptance.

Outcome: Ex-Cell-O's appeal succeeded. Butler could not recover the additional price increase under its own clause. The buyer won the dispute over the extra payment.

Lesson: Butler sent the final response, but that response accepted Ex-Cell-O's terms. Identify what was accepted, rather than merely who wrote last.

6 Apply the reasoning to a new example

A supplier quotes £2,000 for laboratory equipment. Its terms allow a surcharge if transport costs rise. The university's purchase order requires a fixed price. The supplier signs a slip expressly accepting the order on the university's terms.

The supplier later demands an extra £150. On these assumed facts, the signed acceptance points to a fixed-price contract. The supplier cannot rely merely on the surcharge clause in its earlier quotation. Any surrounding documents and later agreed changes would also need examination.

A short case analysis

Issue: Was the seller's price-change clause included?

Rule: A counter-offer may replace an earlier offer; an effective acceptance establishes agreement on the accepted terms.

Application: The seller signed an acceptance of the buyer's terms.

Conclusion: The seller's earlier clause did not govern the contract.

TRW v Panasonic

[2021] EWCA Civ 1558 · Court of Appeal

7 Terms agreed before later orders

TRW bought electronic components from Panasonic. In 2011, TRW signed a customer-file document acknowledging Panasonic's general conditions. These were intended to govern the business relationship and required disputes to be brought in Hamburg, Germany.

Later purchase orders referred to TRW's own conditions. TRW alleged that the components were defective and brought proceedings in England. Panasonic challenged the English court's jurisdiction.

8 The decision and outcome

Panasonic's conditions provided that different buyer terms required its express written confirmation. They also stated that delivery without reservation would not make conflicting buyer terms valid. The earlier signed arrangement was therefore important to the later transactions.

Outcome: TRW's appeal was dismissed. Panasonic prevailed on jurisdiction: the Hamburg courts had exclusive jurisdiction over the claim. This ruling did not decide whether the components were defective or what compensation was owed.

Lesson: Earlier agreed conditions can prevent later forms from replacing them. The result is sometimes described as a "first shot" winning, but the first document does not win automatically.

9 Compare the two cases

QUESTION	BUTLER	TRW
What was decisive?	The seller's signed acceptance of the buyer's order.	The earlier signed arrangement governing subsequent dealings.
Which conditions prevailed?	The buyer's terms, without the seller's price-change clause.	Panasonic's conditions, including Hamburg jurisdiction.
What should we learn?	Read the acceptance carefully.	Check for an existing agreement before analysing later forms.

10 Jurisdiction and governing law

Jurisdiction concerns which court has authority to hear a dispute. **Governing law** concerns which legal system supplies the rules for the contract. These are different questions.

For example, asking where proceedings belong is different from asking whether a supplier breached the contract. A jurisdiction decision alone does not resolve the underlying claim.

Analysis and Legal English

11 A method for reading the documents

Check existing agreements. Do they govern future orders or changes?

Order the documents. Read quotations, orders, acknowledgements and correspondence chronologically.

Identify the conflict. Compare the exact disputed terms.

Find acceptance. Examine wording, signatures and conduct; silence alone does not generally show consent.

Explain the result. State which terms were agreed and why.

12 Essential vocabulary

TERM	PLAIN ENGLISH MEANING
Standard terms	Reusable conditions used across many transactions.
Counter-offer	A new proposal that changes the original offer's terms.
Acknowledgement	A response confirming receipt or agreement; its wording determines its effect.
Price variation clause	A term permitting the price to change in specified circumstances.
Jurisdiction clause	A term identifying the court or courts for disputes.
Last shot	The final proposed terms accepted before formation, in the traditional analysis.

13 Check your understanding

1. Does the last document always determine the contract's terms?
2. Why did Butler's price variation clause not apply?
3. What made the earlier customer-file document important in *TRW*?
4. Did Panasonic's jurisdiction victory prove its components were satisfactory?

Answers: 1. No; identify the terms actually agreed. 2. Butler accepted the buyer's terms, which did not include the clause. 3. It acknowledged conditions intended to govern later dealings and restrict replacement by buyer terms. 4. No; the ruling concerned where the claim should be heard.

Authorities and source material

Butler Machine Tool Co Ltd v Ex-Cell-O Corp (England) Ltd [1979] 1 WLR 401; decided in 1977. Judgment extracts.

TRW Ltd v Panasonic Industry Europe GmbH and another [2021] EWCA Civ 1558. Official case record; judgment text.

Source lesson: the supplied *Battle of Forms Contract Law* transcript.